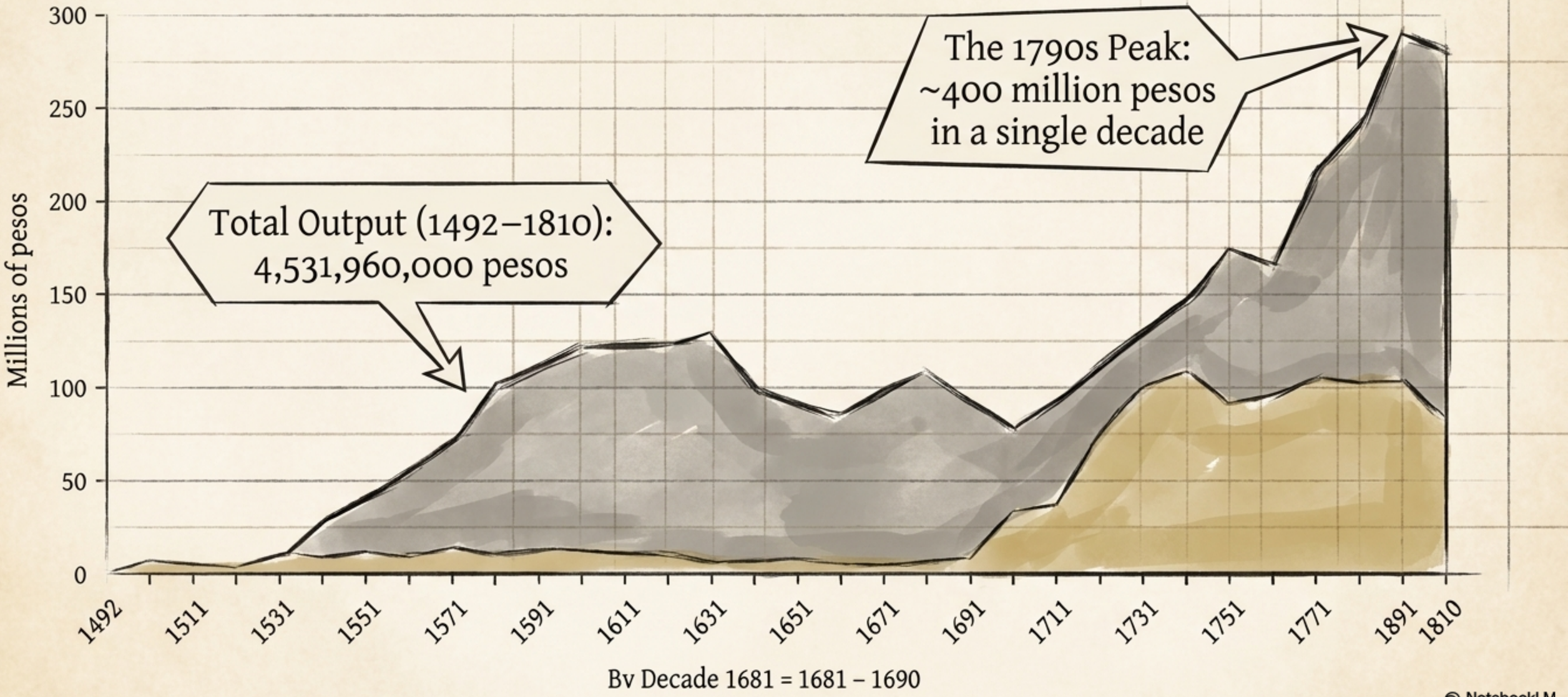
The True Age of New World Gold

Mapping three centuries of bullion extraction, from conquistador plunder to the 18th-century Brazilian boom.

NotebookLM

Iberian colonies extracted over 4.5 billion silver pesos of wealth over three centuries.



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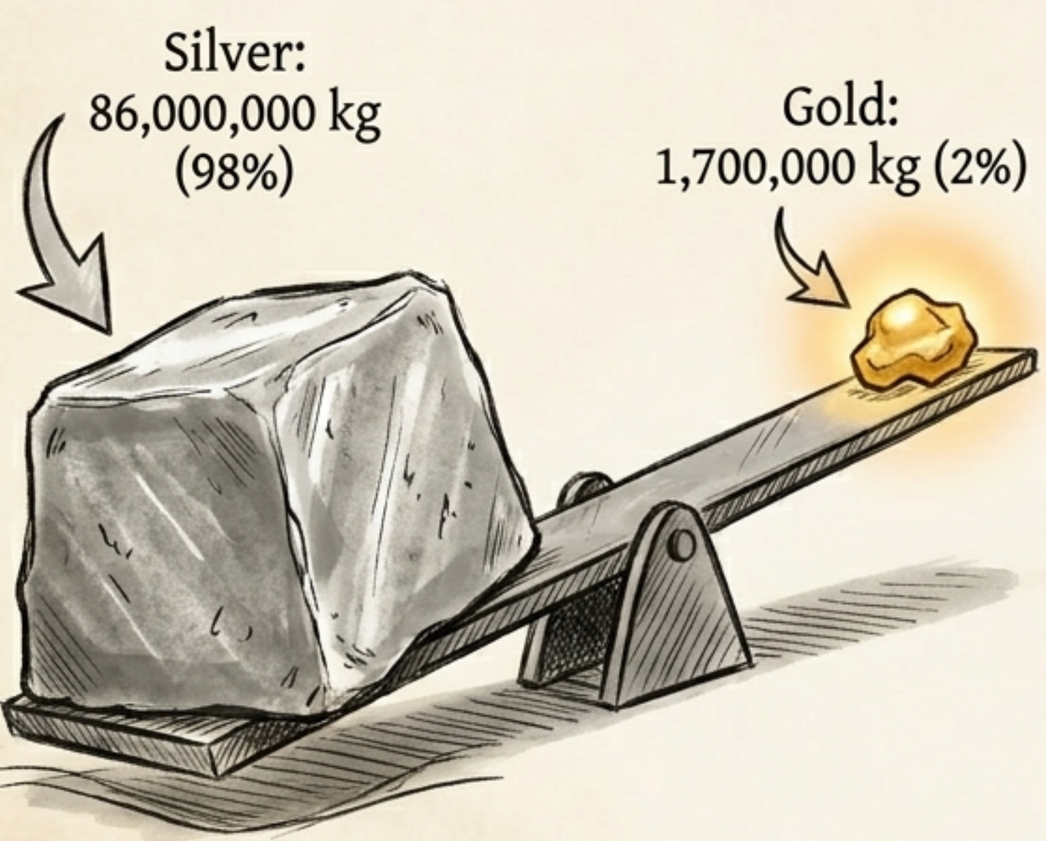
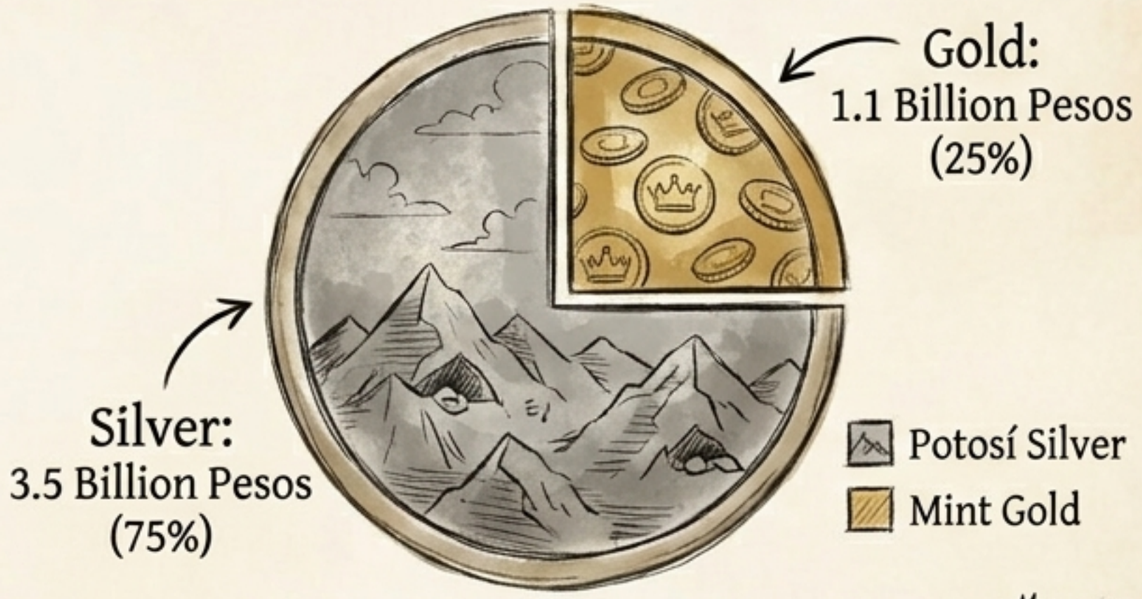
The metal paradox: Gold was exceedingly rare by weight, yet profoundly impactful by economic value.

The Physical Reality



The Economic Reality



Because gold's value density was so high, it accounted for a full quarter of the New World's total economic yield despite its physical scarcity.

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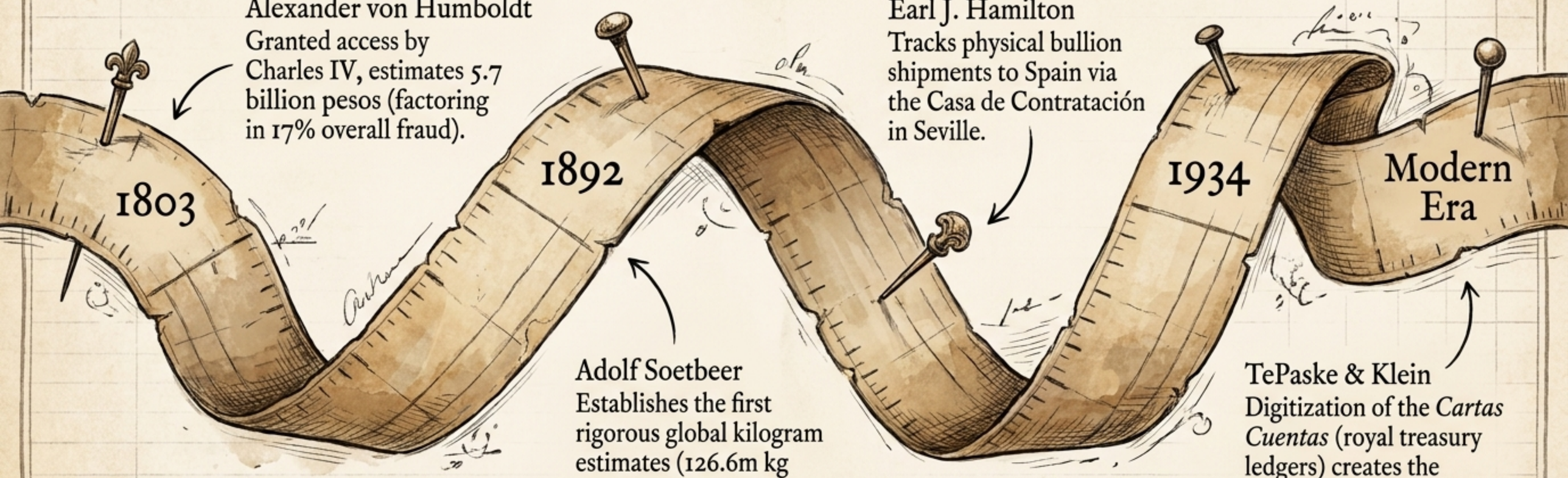
Estimating centuries of colonial wealth required decoding the Spanish imperial archive.



Alexander von Humboldt
Granted access by Charles IV, estimates 5.7 billion pesos (factoring in 17% overall fraud).

Adolf Soetbeer
Establishes the first rigorous global kilogram estimates (126.6m kg silver, 3.7m kg gold).

Earl J. Hamilton
Tracks physical bullion shipments to Spain via the Casa de Contratación in Seville.

TePaske & Klein
Digitization of the *Cartas Cuentas* (royal treasury ledgers) creates the definitive modern baseline of registered production.

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Silver built the imperial state; gold fueled the localized frontier economy.

	Silver	Gold
Total Output (Weight)	86,000,000 kg	1,700,000 kg
Total Economic Value	3.5 Billion pesos	1.1 Billion pesos
Peak Eras	Constant growth, peaking in 1700s	Early 1500s spike, followed by massive 1700s boom
Refining Method	Amalgamation using mercury	Smelting & raw dust circulation
Economic Role	Global export & official coinage	Local currency & frontier trade
Fraud Susceptibility	Tightly controlled at royal mints	Rampant; estimated at 50% in Brazil

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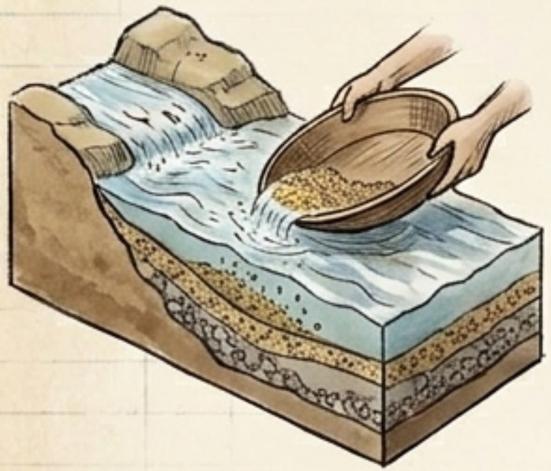
Extraction relied primarily on placer mining, utilizing techniques adapted from indigenous populations.

Panning (Bateas)



Washing sediment from gold-rich streams in specially designed wooden bowls.

Ground Sluicing

A destructive pre-Columbian technique using artificial canals to wash high-altitude gravel into lower streams.

Vein Mining (Lode)

Cutting adits and timbered shafts directly into mountainsides; often plagued by flooding and poor ventilation.

Tomb Robbing (Guaquería)

The outright confiscation and melting down of native ritual pieces and ornaments during the early conquest.

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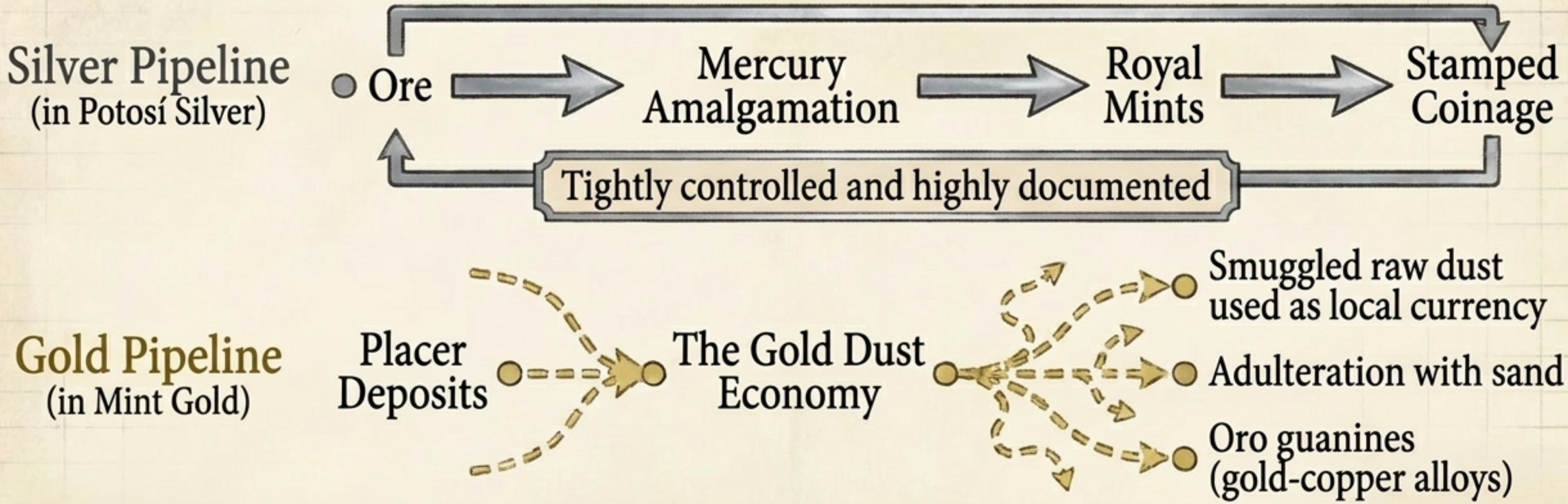
The “gold dust economy” fostered rampant fraud and defied royal taxation.



Merchants relied on touchstones (*piedra de toque*) and needles to verify purity. Crown standards fell from 22.5 to 21 karats by 1787 to adapt to this reality, with Brazilian fraud rates estimated at a staggering 50%.

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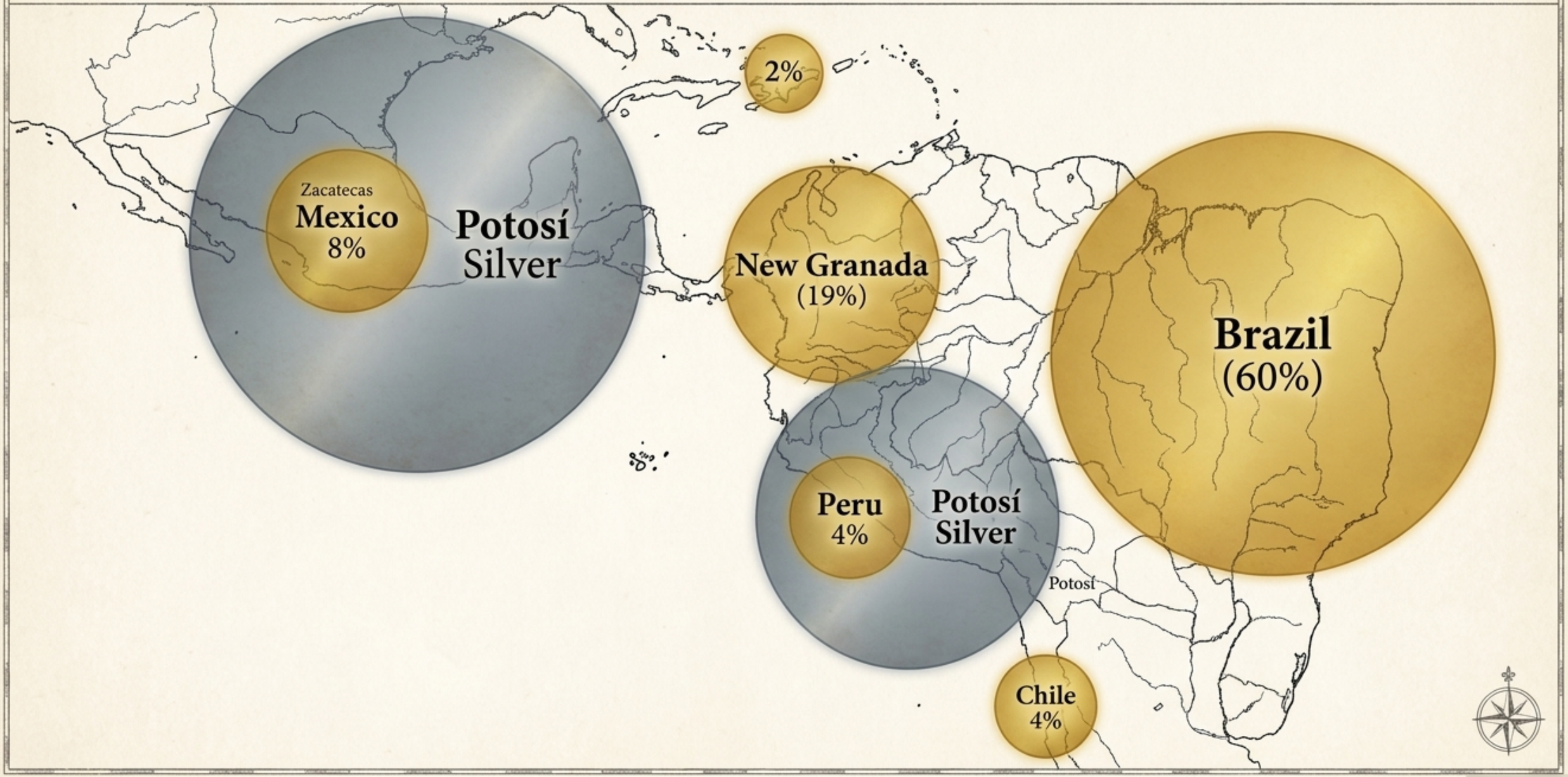
Geography cleanly divided the production centers of the two precious metals.



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Distinct regional profiles defined the New World gold economy over three centuries.

Region	Historical Archetype	Peak Era	Total Output	Key Sites
The Caribbean	The Spark	1492–1550	**32,500 kg (2%)**	Española
Mexico	The Silver Giant (with a gold shadow)	1790–1810	**137,000 kg (8%)**	San Luis Potosí
Peru	The Early Anomaly	1530s	**70,000 kg (4%)**	Cajamarca / Lima
New Granada	The Gold Engine	1700s	**320,000 kg (19%)**	Antioquia, Chocó
Brazil	The Late-Blooming Behemoth	1730–1760	**1,000,000+ kg (60%)**	Minas Gerais

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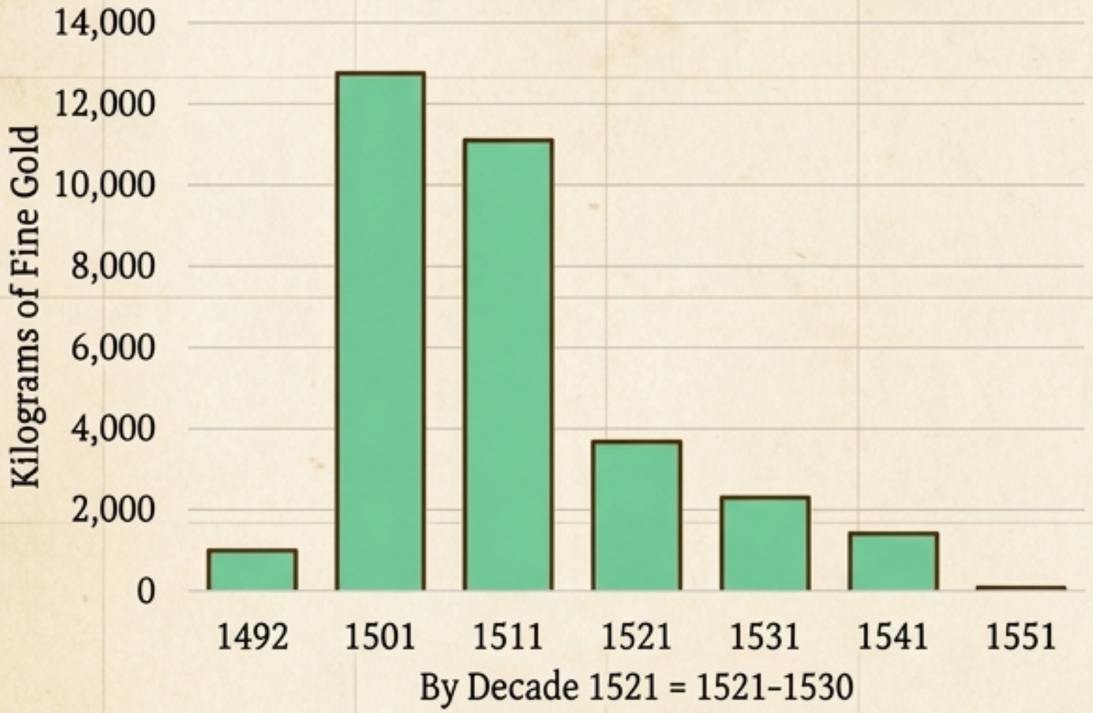
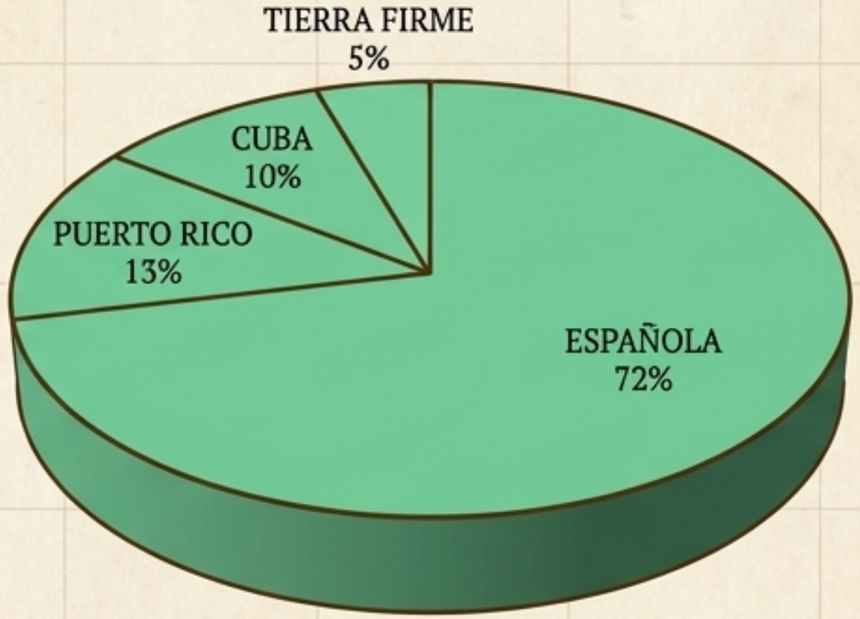
The Caribbean sparked the initial gold rush before rapidly burning out.

Caribbean Gold Production by Decade (1492-1555)



Regional Breakdown of Caribbean Gold Output



Early Spaniards exhausted the placer deposits and decimated the native populations within a few decades, prompting the exodus to the mainland. Total output was a mere 32,500 kg (2% of the New World total).

The Royal Ledger & The Map

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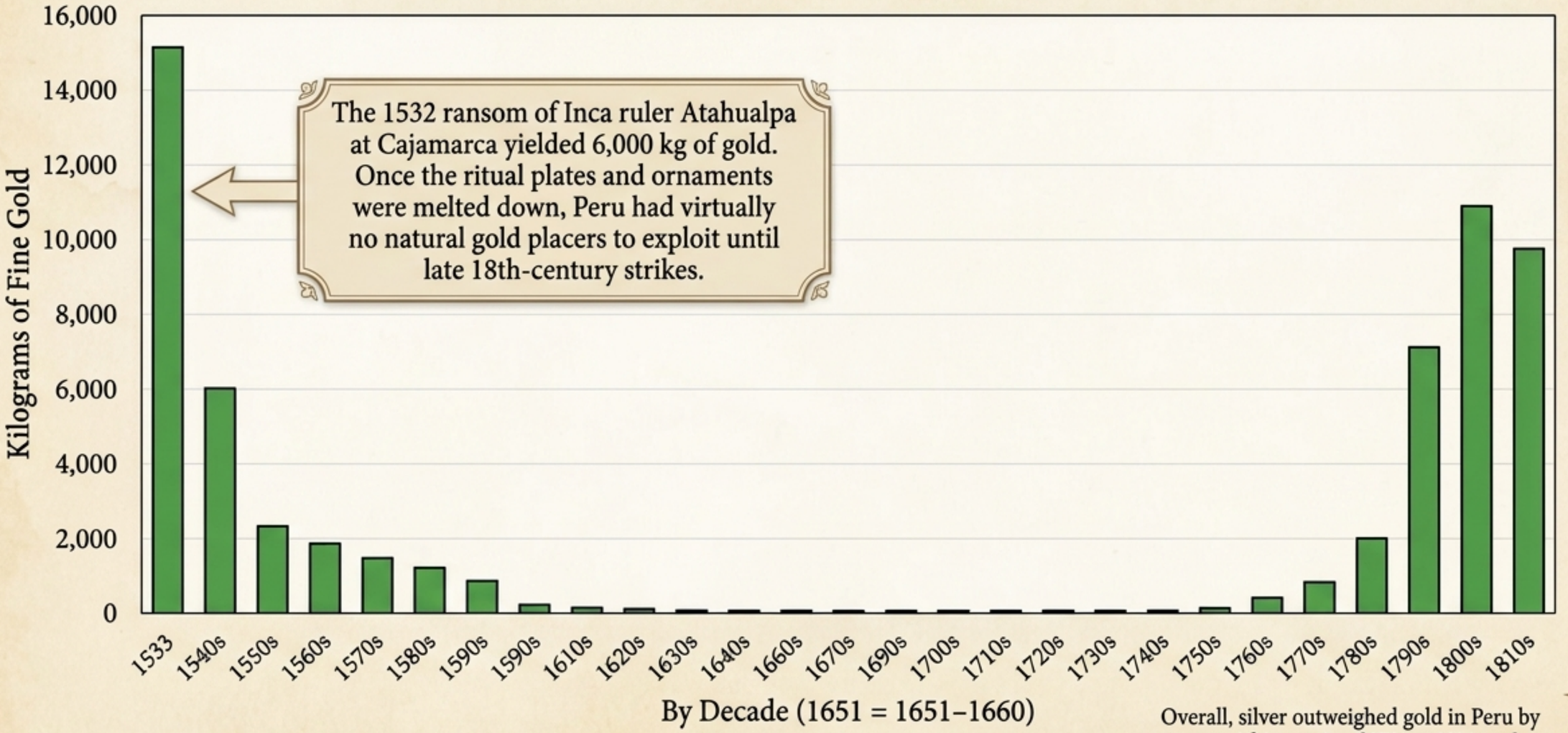
Peru's gold output was an anomaly driven by early conquest plunder.

Peru Gold Production by Decade (1533–1810)



Overall, silver outweighed gold in Peru by an astonishing ratio of 97% to 3% in value.

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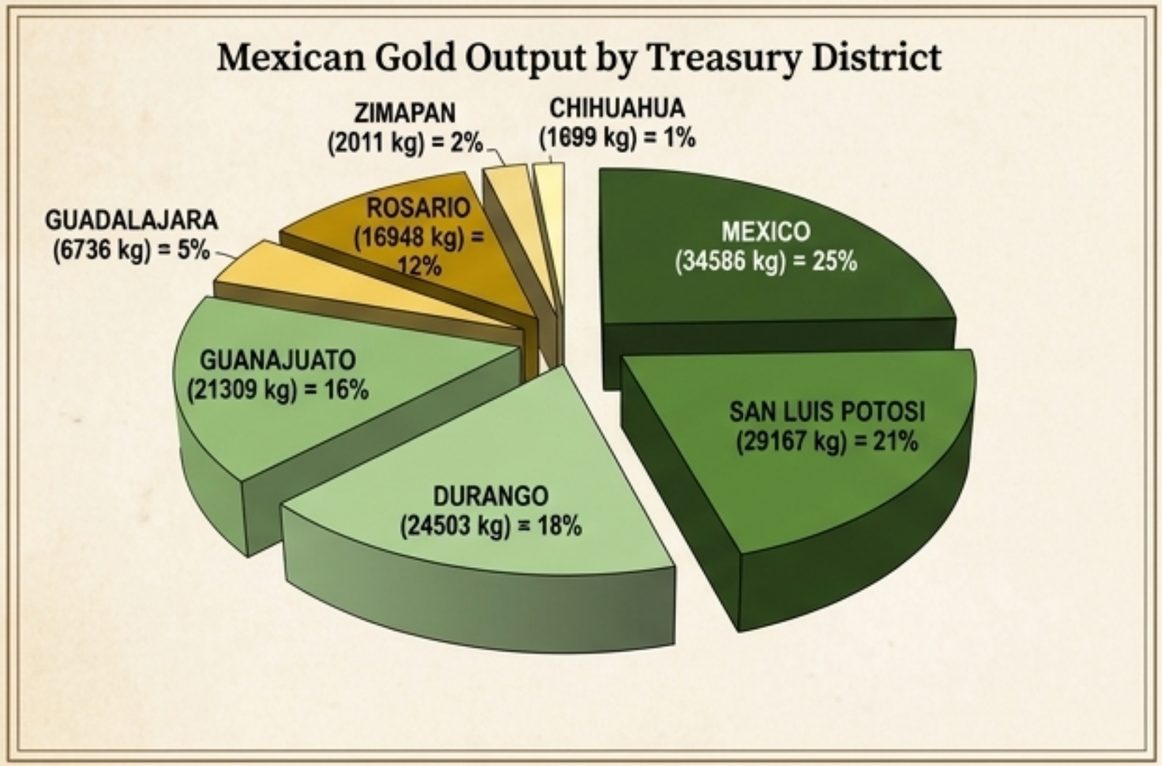
Mexico produced monumental wealth, but gold remained a mere shadow to silver.



The Grand Disparity: Over the colonial epoch, Mexico generated 1.96 billion silver pesos (96% of total wealth), compared to just 90 million pesos in gold (4%). In New Spain, silver reigned supreme.

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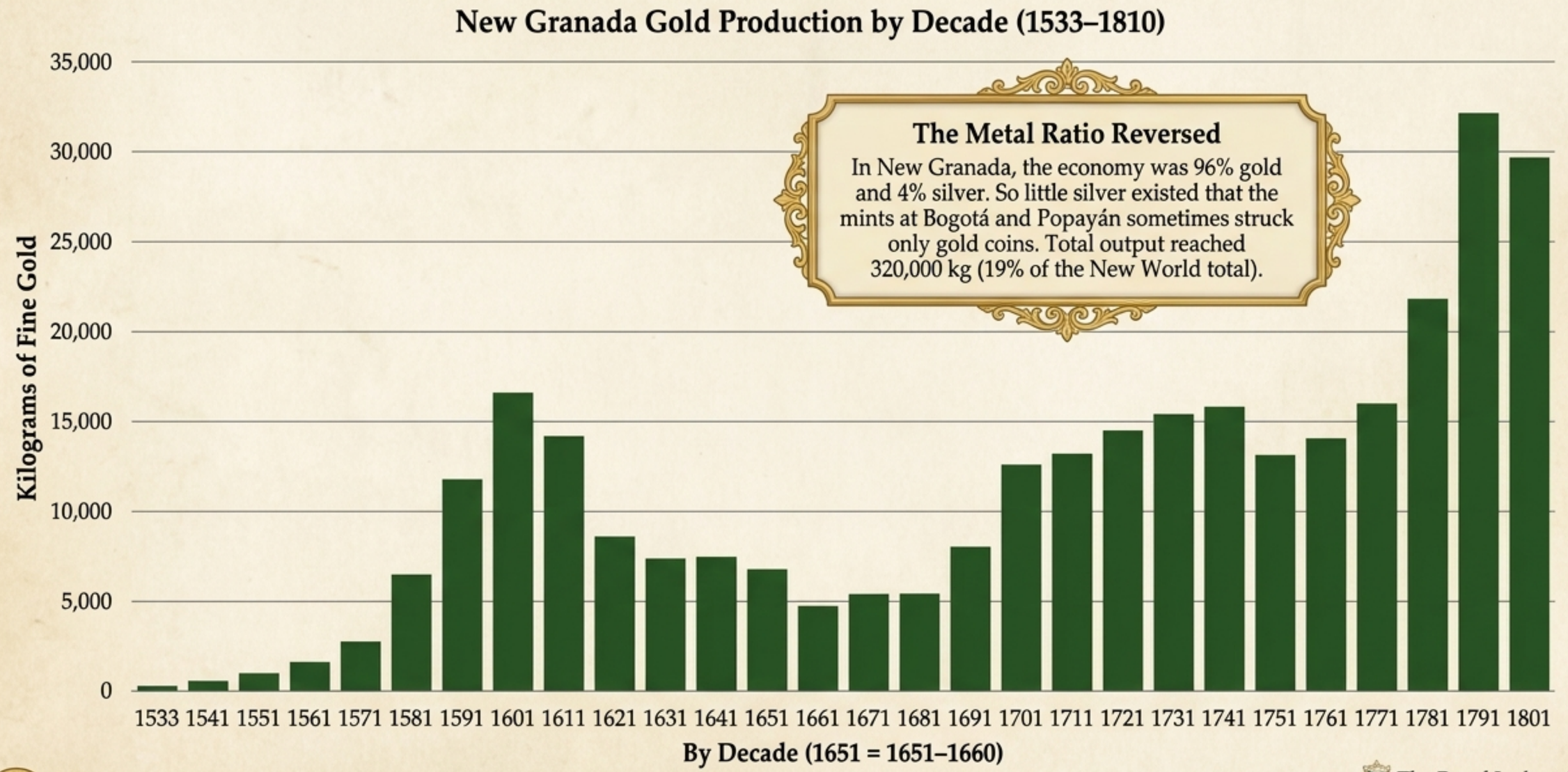
New Granada operated as Spanish America's dedicated, enduring gold engine.



The Metal Ratio Reversed

In New Granada, the economy was 96% gold and 4% silver. So little silver existed that the mints at Bogotá and Popayán sometimes struck only gold coins. Total output reached 320,000 kg (19% of the New World total).

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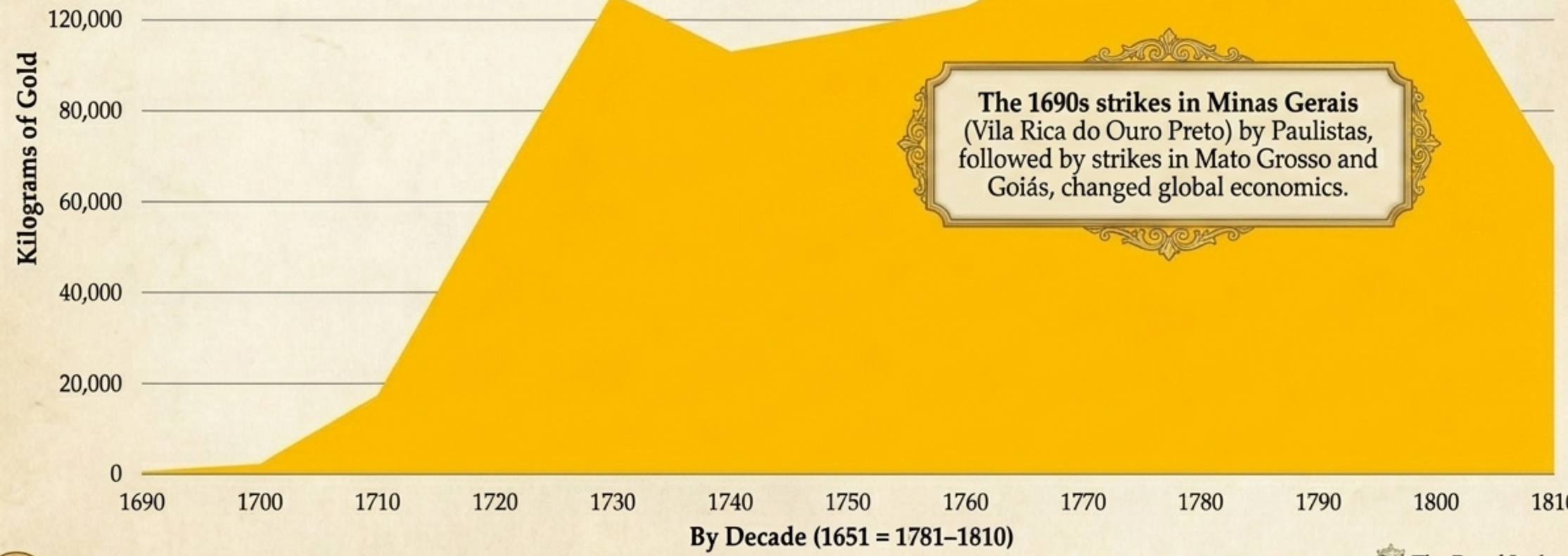
Brazil awoke late to dominate the entire New World gold economy.

Despite starting two centuries late, **Brazil** produced **over 1,000,000 kg of gold**—accounting for a staggering **60%** of all gold extracted in the New World.



The 1690s strikes in Minas Gerais (Vila Rica do Ouro Preto) by Paulistas, followed by strikes in Mato Grosso and Goiás, changed global economics.

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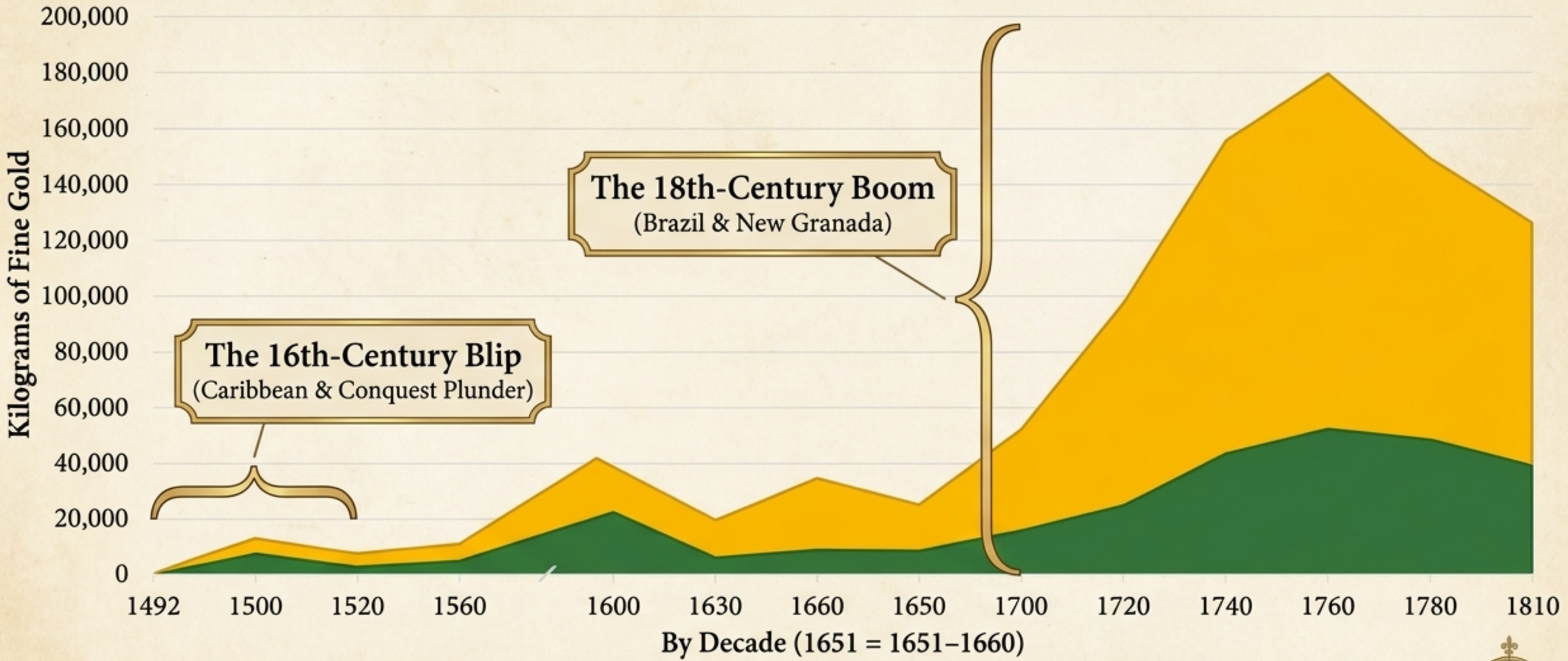
The historical timeline reveals two distinct ‘Ages of New World Gold’.



The cultural imagination incorrectly associates New World gold with 16th-century conquistadors. The quantitative reality proves that the true age of gold was an industrial-scale 18th-century phenomenon.

The Royal Ledger & The Map

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Silver built the 16th century. Gold defined the 18th century.

86,000,000 kg

Silver, driving the Spanish imperial state from the mountains of Mexico and Peru.

1,700,000 kg

Gold, driving the 18th-century frontier economies of Brazil and New Granada.

The meticulous records of the Spanish *Cartas Cuentas* and Portuguese mints correct centuries of myth. While silver was the abundant metal of empire, gold—though physically scarce and prone to illicit trade—commanded 25% of the hemisphere's purchasing power, forever altering the global economy not during the era of conquest, but on the eve of independence.

The Royal Ledger & The Map

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